

## 25STCV16244 25STCV16244

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Case Number: 25STCV16244 Hearing Date: July 22, 2026 Dept: 732

James R. Fulker, et al. v. Interinsurance Exchange of the Automobile Club, et al.

Wednesday, July 22, 2026

CASE NUMBER: 25STCV16244

OPPOSED

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Defendant Interinsurance Exchange of the Automobile Club's Demurrer to the First Amended Complaint

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Facts: This is an action for insurance bad faith, negligence, and fraud. The First Amended Complaint ("FAC") alleges as follows. Plaintiffs are owners of homes destroyed in the 2025 Palisades fire who filed insurance claims with Defendant Interinsurance Exchange of The Automobile Club ("Defendant"). (FAC ¶ 16.) When obtaining the insurance policies with Defendant, Defendant's agents assured Plaintiffs that their coverage limits were adequate to replace Plaintiffs' homes. (FAC ¶ 16.) But Defendant calculated its coverage limits for Plaintiffs' policies based on an underestimate of "full replacement cost" of their homes, arrived at by systematic deference to unreasonable software calculations designed to limit Defendant's liability for any loss (FAC ¶¶ 35–36, 46, 53.) Defendant intended its policy limits calculations to be relied upon by Plaintiffs as covering the full replacement cost of their homes. (FAC ¶ 47.) But when Plaintiffs sought to rebuild their homes, they found their policy limits inadequate to the actual cost. (FAC ¶ 56, 66.)

Procedural History: Plaintiffs filed the original Complaint on June 4, 2025, and filed the FAC on October 3, 2025, alleging seven causes of action:

Breach of Implied Covenant of Fair Dealing

Breach of Contract

Negligence

Negligent Misrepresentation

Fraud

Unfair Competition

Reformation

Defendant filed the present demurrer on April 23, 2026.

Plaintiffs filed an opposition on July 9, 2026.

Defendants filed a reply on July 15, 2026.

Analysis:

#### DEMURRER

A demurrer should be sustained only where the defects appear on the face of the pleading or are judicially noticed. (Code Civ. Pro., §§ 430.30, et seq.) In particular, as is relevant here, a court should sustain a demurrer if a complaint does not allege facts that are legally sufficient to constitute a cause of action. (See *id.*, § 430.10, subd. (e).) As the Supreme Court held in *Blank v. Kirwan* (1985) 39 Cal.3d 311: “We treat the demurrer as admitting all material facts properly pleaded, but not contentions, deductions or conclusions of fact or law. . . . Further, we give the complaint a reasonable interpretation, reading it as a whole and its parts in their context.” (*Id.* at p. 318; see also *Hahn v. Mirda* (2007) 147 Cal.App.4th 740, 747 [“A demurrer tests the pleadings alone and not the evidence or other extrinsic matters. Therefore, it lies only where the defects appear on the face of the pleading or are judicially noticed. [Citation.]”])

“In determining whether the complaint is sufficient as against the demurrer ... if on consideration of all the facts stated it appears the plaintiff is entitled to any relief at the hands of the court against the defendants the complaint will be held good although the facts may not be clearly stated.” (*Gressley v. Williams* (1961) 193 Cal.App.2d 636, 639.)

“A demurrer for uncertainty is strictly construed, even where a complaint is in some respects uncertain, because ambiguities can be clarified under modern discovery procedures.” (*Khoury v. Maly's of Cal., Inc.* (1993) 14 Cal.App.4th 612, 616.) Such demurrers “are disfavored, and are granted only if the pleading is so incomprehensible that a defendant cannot reasonably respond.” (*Mahan v. Charles W. Chan Insurance Agency, Inc.* (2017) 14 Cal.App.5th 841, 848.)

A demurrer should not be sustained without leave to amend if the complaint, liberally construed, can state a cause of action under any theory or if there is a reasonable possibility the defect can be cured by amendment. (*Schifando v. City of Los Angeles*, *supra*, 31 Cal.4th at p. 1081.) The demurrer also may be sustained without leave to amend where the nature of the defects and previous unsuccessful attempts to plead render it probable plaintiff cannot state a cause of action. (*Krawitz v. Rusch* (1989) 209 Cal.App.3d 957, 967.)

Defendant Interinsurance Exchange of the Automobile Club (“Defendant”) demurred to each cause of action alleged by the various Plaintiffs in this action, reasoning that the principal basis for Plaintiffs’ claims — that Defendant set homeowners

coverage limits on an estimate of the replacement cost of the home that negligently and intentionally undervalued the cost, in order to save money for Defendant — cannot provide a basis for recovery, because Plaintiffs had the duty ensure their own coverage was adequate to contemplated losses. (Demurrer at pp. 9–18.)

## Negligence

“To succeed in a negligence action, the plaintiff must show that (1) the defendant owed the plaintiff a legal duty, (2) the defendant breached the duty, and (3) the breach proximately or legally caused (4) the plaintiff’s damages or injuries.” (Thomas v. Stenberg (2012) 206 Cal.App.4th 654, 662.)

“[A]s a general proposition, an insurance agent does not have a duty to volunteer to an insured that the latter should procure additional or different insurance coverage.” (Vulk v. State Farm General Ins. Co. (2021) 69 Cal.App.5th 243, 254.) “It is up to the insured to determine whether he or she has sufficient coverage for his or her needs.” (Everett v. State Farm General Ins. Co. (2008) 162 Cal.App.4th 649, 660.) “The general no-duty rule changes only when one of the following three things occurs: (1) the agent misrepresents the nature, extent or scope of the coverage being offered or provided; (2) there is a request or inquiry by the insured for a particular type or extent of coverage; or (3) the agent assumes an additional duty by either express agreement or by holding themselves out as having expertise in a given field of insurance being sought by the insured.” (Vulk, supra, 69 Cal.App.5th at p. 254–255.)

Defendant argues that under the above authority, no negligence claim may lie for its alleged setting of policy limits beneath the actual rebuild cost of Plaintiffs’ homes, because it was Plaintiffs’ duty to ensure that their insurance was adequate for their contemplated needs. Although Plaintiffs allege that the policies contained representations that the coverage limits were based on an estimate of said replacement cost, Defendants note other language in the policies states, “It is your duty, . . . to select and maintain adequate amounts of insurance.” (FAC Exh. A (Policy at p. 12).) The policy goes on: “Any adjustment in the limits of liability listed above do not, in any way, represent, warrant, or guarantee that these adjustments will accurately account for inflation or that the amounts of coverage are adequate to repair or replace the damaged or destroyed property.” (Ibid.)

Plaintiffs allege facts sufficient to establish an exception to the general no-duty rule on demurrer. Plaintiffs allege that Defendant claimed to have “specialized knowledge and expertise regarding how to accurately calculate the costs of replacing or reconstructing Plaintiffs’ homes following a loss event,” that it “made affirmations to Plaintiffs that its cost estimating software would accurately calculate policy limits for rebuilding each of Plaintiffs’ individual homes, based on brief information collected online or over the phone, in an effort to induce policy sales, depress claim reimbursement, and maintain and enlarge AAA’s market share,” and that Defendant’s personnel, “on numerous occasions, held themselves out to Plaintiffs as specialists in the homeowners insurance arena and in obtaining comprehensive insurance coverage, including for the full and complete cost to rebuild or replace Plaintiff’s homes.” (FAC ¶¶ 87–89.) Plaintiffs thus allege sufficient facts to invoke the exceptions to the general rule that the insurer has no duty to provide a particular type of coverage, by alleging representations that the coverage would fully cover the replacement cost of their homes, and that Defendant’s personnel did so through representations of special expertise.

Defendant asks this court to take judicial notice of various disclosures purportedly sent to Plaintiffs upon the renewal of their policies which include the warning: “Insuring your home for less than its replacement cost may result in your having to pay thousands of dollars out of your own pocket to rebuild your home if it is completely destroyed. Contact your... insurance company immediately if you believe your policy limits may be inadequate.” (RJN Exh. 3.) Plaintiff objects to the court taking judicial notice of these documents. (Opposition at p. 4.) This court may not take judicial notice of the documents identified, as they are not mentioned or relied upon in the SAC, and per their terms are mere disclosures of “general information” that are “not part of your [Plaintiffs’] residential property Insurance policy.” (See RJN Exhs. 2–7.) In any event, Defendant presents no authority for the proposition that these disclosures negate as a matter of law the affirmative acts that Plaintiffs allege to have created a duty to provide coverage adequate for home replacement. And although the disclosures offered by Defendant invite insureds to contact the insurer regarding increased coverage, Plaintiffs allege that when they attempted to obtain additional coverage from Defendant, they were rebuffed or assured of the adequacy of their existing coverage. (FAC ¶¶ 48, 99.) Thus the materials presented in Defendant’s request for judicial notice provide no basis to sustain the demurrer.

Although Defendant in reply argues that the policy's integration clause and numerous disclaimers ought to forbid invocation of the exceptions (Reply at p. 10), the negligence claim need not be based on a specific contract term, and the authority setting forth the exceptions contemplates a duty coming into existence by virtue of "misrepresent[ations]" of "the nature, extent or scope of the coverage being offered or provided." (Vulk, supra, 69 Cal.App.5th at p. 254–255.) Defendant cites no authority for the proposition that disclaimers and an integration clause in an insurance policy would defeat a finding of duty when the facts justifying one's creation are present. To allow contrary policy terms to defeat the exceptions would run the risk of swallowing them entirely. Defendant instead presents authority concerning the application of such contractual terms to misrepresentation claims, each of which pre-dates the California Supreme Court's decision in *took Riverisland Cold Storage, Inc. v. Fresno-Madera Production Credit Assn.* (2013) 55 Cal.4th 1169, 1182 ["It was never intended that the parol evidence rule should be used as a shield to prevent the proof of fraud."]), which held that the parol evidence rule and integration clauses did not bar claims for promissory fraud as a matter of law.

Accordingly, the demurrer to the third cause of action for negligence is OVERRULED.

#### Fraud

"The elements of fraud are: (1) misrepresentation or concealment, (2) knowledge of its falsity, (3) intent to defraud, (4) justifiable reliance and (5) resulting damage. (*Gil v. Bank of America, Nat. Ass'n* (2006) 138 Cal. App. 4th 1371, 1381; *Barbara A. v. John G.* (1983) 145 C.A.3d 369, 376.) Fraud causes of action must be pleaded with particularity, meaning that the plaintiff must allege "how, when, where, to whom, and by what means the representations were tendered." (*Lazar v. Superior Court* (1996) 12 Cal.4th 631, 645.)

"[A] plaintiff is held to a higher standard in asserting a fraud claim against a corporate defendant. "In such a case, the plaintiff must 'allege the names of the persons who made the allegedly fraudulent representations, their authority to speak, to whom they spoke, what they said or wrote, and when it was said or written.'" (*Tenet Healthsystem Desert, Inc. v. Blue Cross of California* (2016) 245 Cal.App.4th 821, 838.)

Defendant here argues that Plaintiffs' fraud claim fails because the disclosures and disclaimers associated with their policies, combined with the integration clauses contained therein, mean that Plaintiffs cannot raise claims based on misrepresentations contradicting the terms of the policies, and further that no reasonable reliance can be shown on any such extracontractual (mis)representation. (Demurrer at pp. 12–15.) Defendant also argues that the fraud claim is not pleaded with specificity. (Demurrer at pp. 15–16.)

On this latter point, Defendant's argument is persuasive. The misrepresentations alleged by Plaintiff are not pleaded with the particularity required by claims for fraud. It is alleged that Defendant or Defendant's representatives represented to Plaintiffs that their policy limits were "adequate" and represented "true cost to rebuild" their homes, but it is not stated when or by what means these representations were made, except in general terms. (See FAC ¶¶ 16a–g.)

Accordingly, the demurrer is SUSTAINED with leave to amend as to the fourth and fifth causes of action for negligent misrepresentation and fraud.

#### Reformation

"[A] contract may be reformed when, due to "mistake of one party, which the other at the time knew or suspected, a written contract does not truly express the intention of the parties." (*Everett v. State Farm General Ins. Co.* (2008) 162 Cal.App.4th 649, 664.) In *Everett*, it was held that an insured could not proceed with a reformation claim based on mistake or misrepresentations by the insurance company because, "there was no mistake or misrepresentation." (*Id.* at p. 664.) Here, however, Plaintiffs allege that Defendant by affirmative conduct caused Plaintiffs to believe that the coverage limits were adequate to reflect the true cost to rebuild. (See FAC ¶¶ 16a–16h; 87–89.) Thus Plaintiffs' reformation claim cannot be foreclosed.

Breach of Contract / Breach of Covenant of Good Faith and Fair Dealing

Defendant argues that Plaintiffs' claims for breach of contract and breach of the covenant of good faith and fair dealing fail because the policies at issue do not provide coverage at the true cost of repair, and Plaintiffs do not allege that any benefits are actually owed under the policies as written. (Demurrer at pp. 17–18.)

However, Plaintiffs seek a reformation of the contract to comport with their understanding and Defendant's alleged representations, and they may in turn prosecute a breach of contract claim on a reformed contract. (See *Landis v. Superior Court* (1965) 232 Cal.App.2d 548, 555 ["Where a cause of action is based on failure to perform the intended agreement, the plaintiff may seek reformation and, in addition, damages for breach, specific performance, etc."].)

Accordingly, the demurrer is SUSTAINED with leave to amend as to the fourth and fifth causes of action for negligent misrepresentation and fraud, and is otherwise OVERRULED.

Superior Court of California

County of Los Angeles

Department 732

JAMES R. FULKER, et al.,

Plaintiff,

v.

Interinsurance Exchange of the Automobile Club, et al.,

Defendants.

Case No.: 25STCV16244

Hearing Date: July 22, 2026

[TENTATIVE] RULING RE:

Defendant Interinsurance Exchange of the Automobile Club's Demurrer to the First Amended Complaint.

Defendant Interinsurance Exchange of the Automobile Club's Demurrer to the First Amended Complaint is SUSTAINED with leave to amend as to the fourth and fifth causes of action for negligent misrepresentation and fraud, and is otherwise OVERRULED. Any amended pleading shall be filed within 20 days of this order.

Plaintiffs to provide notice.

Dated: July 22, 2026

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Hon. Richard S. Kemalyan

Judge of the Superior Court